

FORM TP 2010166



TEST CODE **02216020**

MAY/JUNE 2010

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

ECONOMICS

UNIT 2 – PAPER 02

2 ½ hours

27 MAY 2010 (a.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. There are **TWO** questions in each section. Candidates **MUST** answer **THREE** questions, **ONE** from **EACH** section.
3. Answers for **ALL** questions must be written in the answer booklet provided.
4. Candidates may use silent non-programmable calculators.



SECTION I

Answer ONE question from this section.

1. (a) (i) Explain the difference between 'Real GDP' and 'Nominal GDP'. [4 marks]
- (ii) Discuss TWO reasons why GDP, by itself, is NOT a complete measure of net economic welfare. [6 marks]
- (b) Given the following information for an economy:
- $$C = 40 + 0.80Y$$
- $$G = 400$$
- $$I = 50$$
- $$NX = 10 - 0.30Y$$
- Determine the following:
- (i) The value of autonomous consumption [1 mark]
- (ii) The value of the marginal propensity to consume [1 mark]
- (iii) The equilibrium level of real GDP [4 marks]
- (iv) The multiplier [3 marks]
- (c) Briefly describe EACH of the following National Income Accounts and state how EACH is measured.
- (i) Net National Product (NNP) [3 marks]
- (ii) Personal Disposable Income (PDI) [3 marks]

Total 25 marks

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2. (a) (i) Using the Keynesian 45° graphs, explain the difference between the 'recessionary gap' and the 'inflationary gap'. [10 marks]
- (ii) Using the Classical Model, explain why disequilibrium employment exists. [5 marks]
- (b) (i) Define the term "investment". [2 marks]
- (ii) Describe FOUR factors that influence investment. [8 marks]
- Total 25 marks**

SECTION II

Answer ONE question from this section.

3. (a) (i) Define 'money'. [1 mark]
- (ii) Outline THREE functions of money. [6 marks]
- (b) (i) Explain what is meant by a 'fractional reserve banking system'. [3 marks]
- (ii) Starting with an initial deposit of \$100 and given a required reserve ratio of 10 per cent, explain how commercial banks use this system to create money. [6 marks]
- (c) Explain how EACH of the following transactions affects the transactions demand for money and the equilibrium interest rate:
- (i) A shortening of the pay period for workers
- (ii) An increase in the nominal gross domestic product
- (iii) An increase in the number of automated teller machines throughout the country [9 marks]
- Total 25 marks**

4. (a) Explain what is meant by 'automatic stabilizers' giving TWO examples of automatic stabilizers. [5 marks]
- (b) (i) Explain what is meant by the term 'fiscal policy'. [3 marks]
- (ii) Outline THREE ways by which fiscal policy can be used by Caribbean governments to increase the level of employment and output in their economies. [9 marks]
- (c) Discuss TWO reasons why fiscal policy may **not** work in practice in the small open economies of the Caribbean. [8 marks]

Total 25 marks

SECTION III

Answer ONE question from this section.

5. (a) Identify the THREE **main** stages of economic integration that CARICOM countries have attempted to achieve over the past 30 years. [3 marks]
- (b) State THREE benefits and THREE costs associated with economic integration. [12 marks]
- (c) Assess the pros and the cons of foreign direct investment (FDI) by multinational companies (MNCs) in the Caribbean regarding
- (i) access to technology
- (ii) job creation. [10 marks]

Total 25 marks

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6. (a) Distinguish between 'absolute advantage' and 'comparative advantage'. **[4 marks]**
- (b) In 2008, the Caribbean region signed an Economic Partnership Agreement with the European Union. Some economists objected to this on the grounds that free trade would not be good for the region.
- Outline THREE arguments in favour of protection that these economists could have used to support their position. **[9 marks]**
- (c) Those countries in favour of the agreement with the European Union argued that the region could receive benefits from free trade with Europe. Outline TWO of these potential benefits. **[6 marks]**
- (d) Discuss TWO policy options that a country can use in order to correct a trade deficit. **[6 marks]**

Total 25 marks

END OF TEST